CASCADIA ANALYTICS

Lam Research Corp

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Peak Multiple Meets Cyclical Crest in Semiconductor Capital Equipment

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Lam Research Corp has delivered exceptional operational execution through fiscal 2026, culminating in record fourth-quarter revenue of $6.72B and an extraordinary September-quarter guidance print of $8.1B. Market pricing has outrun fundamental cash-generation capacity at a spot price of $256.80, which translates to a market capitalization of $323.9B and an EV to EBITDA multiple of 49.4x against historical fiscal 2025 performance. Working capital friction surfaced as days sales outstanding stretched to 72 days while regional exposure to China remains elevated between 26% and 35% of quarterly turnover, leaving equity holders exposed to severe multiple compression once the current equipment cycle crests. We initiate coverage with a Hold, Valuation Concerns rating and establish a probability-weighted blended target of $172.57, implying -32.8% upside.

HOLD	$172.57	-32.8%	$256.80
Hold, Valuation Concerns	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE
INVESTMENT RATING			

While equity markets have extrapolated peak gross margins near 52% and the sequential doubling of NAND revenue into perpetual secular compounding, our framework isolates the late-stage mechanics of the current wafer fab equipment upswing. The market is pricing flawless execution through fiscal 2031 while ignoring

operating cash flow divergences and the historical mean reversion inherent in capital equipment spending.

Executive summary

Lam Research Corp operates as an established oligopoly leader in semiconductor etch and deposition equipment, serving the global semiconductor manufacturing complex through two synergistic pillars comprising new systems shipments and its recurring Customer Support Business Group. This razor-and-blade commercial architecture pairs capital-intensive process tool installations with ongoing spares, service, and upgrades throughout multi-decade fab production lifecycles. In fiscal 2025, the enterprise generated $18.4B in revenue, delivering a gross profit of $8.98B, operating income of $5.90B, and net income of $5.36B, reflecting gross margin of 48.7% and operating margin of 32.0%. Free cash flow conversion remained robust at $5.41B, equivalent to a 29.4% margin, supported by an asset-efficient footprint that drove return on equity to 54.3% alongside diluted earnings per share of $4.15.

The operational cadence across fiscal 2026 evidenced accelerating cyclical momentum across every reported quarter. Revenue expanded from $5.32B in the first fiscal quarter, up 27.7% year over year, to $5.34B in the second quarter, $5.84B in the third quarter, and reached a record $6.72B in the fourth quarter, representing 30.0% annual and 15.1% sequential expansion. Profitability expanded concurrently, with operating income climbing from $1.83B in the first quarter to $2.51B by the fourth quarter, establishing an operating margin peak of 37.4%. Management raised its calendar 2026 wafer fab equipment industry outlook to the low $150B range from a previous baseline of $140B, backed by sequential doubling of NAND equipment revenue and a September-quarter guidance midpoint of $8.1B that exceeded prevailing consensus expectations by roughly $1B. The market rewarded this cadence, driving shares up 18.0% following the fourth-quarter release.

Underneath this operational crescendo, balance sheet and cash flow metrics reveal late-cycle frictions that warrant rigorous scrutiny. In the fourth quarter of fiscal 2026, operating cash flow of $1.457B lagged reported net income of $2.28B, as working capital absorbed liquidity and days sales outstanding expanded to 72 days from 64 days in the preceding period. Regional concentration remains pronounced, with China accounting for 35% of revenue in the second quarter, 34% in the third quarter, and 26% in the fourth quarter, while customer shipments across Taiwan, China, and Korea collectively generate the majority of total sales. Although the company preserves a sound balance sheet supported by $6.39B in cash against $4.48B in total debt, creating a net cash buffer of $1.91B, the current equity valuation leaves no margin for geopolitical friction or standard cyclical moderation.

At the reference spot price of $256.80, Lam Research trades at 61.9x fiscal 2025 diluted EPS, 17.6x fiscal 2025 revenue, and 49.4x EV to EBITDA. Our discounted cash flow framework discounts prospective cash flows across a six-year forecast horizon from fiscal 2026 to fiscal 2031 using a 10.54% cost of capital and an equity beta of 1.50. Across our probability-

weighted scenarios, even an aggressive bull case yields a fair value of $219.22, while our base case settles at $171.51 and the bear case contracts to $128.06. Blending these outcomes at 25% bear, 50% base, and 25% bull produces our fair value estimate of $172.57. Because this implies -32.8% upside versus prevailing levels, we assign a rating of Hold, Valuation Concerns.

Operational snapshot

$256.80	$18.4B	$5.41B	29.4%	1.50	$256.80
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-29.

The moat is Entrenched and Specialized

Lam Research possesses an exceptional competitive moat derived from extreme technical specialization and deep customer integration across semiconductor fabrication. The primary moat pillar resides in proprietary etch and deposition process steps where atomic-scale precision governs device yield. In modern 3D semiconductor manufacturing, etch tools must excavate microscopic aspect ratios through hundreds of alternating material layers without physical distortion, while deposition systems must place uniform thin films at sub-nanometer tolerances. These atomic-level interactions require proprietary chemical formulas, plasma control algorithms, and customized chamber architectures that cannot be replicated without decades of continuous metallurgical and physics research. Consequently, leading chipmakers cannot substitute incumbent etch or deposition platforms without introducing catastrophic yield degradation risks onto multi-billion-dollar fabrication lines.

The secondary structural moat is the razor-and-blade model managed through the Customer Support Business Group. Once a tool chamber is qualified and bolted to a cleanroom floor, it initiates an operational lifespan that frequently extends beyond fifteen years. The Customer Support Business Group secures steady, high-margin revenue streams by providing proprietary replacement parts, maintenance services, chamber retrofits, and software optimizations. This installed base dynamics were visible throughout fiscal 2026, generating $1.78B in customer support revenue during the first quarter alone while systems revenue scaled from $3.36B in the second quarter to $3.73B in the third quarter. The customer support business creates an enduring operational foundation that buffers companywide profitability during cyclical equipment breathers, generating reliable cash flow to fund continuous internal research and development.

Substantial switching barriers further insulate the franchise from competitive displacement. Semiconductor manufacturers invest billions of dollars aligning their manufacturing recipes to the precise physical and chemical idiosyncrasies of Lam's chambers. Transitioning a qualified high-volume manufacturing line from Lam's etch tools to an alternative vendor would require

re-characterizing entire process modules, re-licensing yield management recipes, and absorbing extensive cleanroom downtime. Because tool cost represents an incremental fraction of total fab construction capital while yield determines enterprise profitability, tier-one manufacturers exhibit minimal willingness to switch suppliers for marginal capital savings. This technical lock-in grants Lam pricing stability across its core product catalog, as evidenced by gross margin climbing from 48.7% in fiscal 2025 to 51.7% in the fourth quarter of fiscal 2026, marking its highest gross margin level in approximately two decades.

Despite these insurmountable operational barriers, the financial expression of an economic moat remains constrained by the cyclicality of its end markets. While switching costs prevent customer defections, they cannot force customers to maintain capital expenditures when consumer demand softens or inventory levels swell. When leading chip manufacturers reduce factory utilization, new equipment orders moderate rapidly, regardless of tool quality. Thus, while Lam's competitive positioning within the global equipment oligopoly remains unassailable, its cash flow remains tied to macroeconomic wafer fab investment cycles, imposing structural limits on long-term terminal valuation multiples.

Valuation

Three scenarios make the valuation range explicit

To establish a rigorous equity valuation for Lam Research, we deploy a six-year explicit cash flow bridge spanning fiscal 2026 through fiscal 2031, discounting projected unlevered free cash flows using a dynamic 10.54% WACC and a 3.0% terminal growth rate. Our model captures the cyclical dynamics of wafer fab equipment spending, recognizing that peak growth phases inevitably transition into structural normalization. In fiscal 2025, the company proved its capacity to generate $5.41B of free cash flow on $18.4B of revenue, registering a 29.4% FCF margin. However, the subsequent expansion through fiscal 2026 has pushed current equity pricing to levels that demand uninterrupted compounding across the multi-year forecast horizon.

Our valuation framework contrasts three defined operational trajectories. The base scenario models a 13.5% revenue compound annual growth rate through fiscal 2031, culminating in a target free cash flow margin of 28.6%. This trajectory captures steady industry expansion as wafer fab equipment spending migrates from the low $150B range established in calendar 2026 toward higher baseline levels, while operating margins normalize from the peak 37.4% level observed in the fourth quarter of fiscal 2026. The bull scenario models an aggressive 17.0% revenue CAGR with final-year free cash flow margins reaching 30.2%, reflecting extended memory manufacturing investments and sustained pricing power across systems and customer support. Conversely, the bear scenario models an 8.0% revenue CAGR and a compressed 28.2% FCF margin, reflecting geopolitical trade adjustments, demand contraction across China, and customer capex pauses.

Weighting these outcomes at 25% for the bear case, 50% for the base case, and 25% for the bull case yields our blended fair value of $172.57 per share. Across 1.26 billion diluted shares, this valuation implies an aggregate equity capitalization substantially below the current market valuation of $323.9B. The resulting upside of -32.8% indicates that the equity is currently discounting financial outcomes well beyond our fundamental base case expectations.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	8.0%	28.2%	$128.06	-50.1%
Base	50%	13.5%	28.6%	$171.51	-33.2%
Bull	25%	17.0%	30.2%	$219.22	-14.6%

Bear $128.06

Revenue expands at an 8.0% CAGR through fiscal 2031 with terminal free cash flow margins receding to 28.2%. The catalyst for this contraction stems from export policy tightening and reduced capital outlays in China following recent elevated mix levels, alongside cash conversion friction as days sales outstanding persist near 72 days. Shares re-rate downward by -50.1% as operating margins normalize toward historical averages.

Base $171.51

Revenue compounds at a 13.5% CAGR over the six-year forecast period while the target free cash flow margin settles at 28.6%. Wafer fab equipment spending consolidates near the raised low $150B range before resuming balanced secular growth across memory and logic. This path results in a fair value of $171.51, indicating that current market prices trade 33.2% above baseline fundamental value.

Bull $219.22

Revenue achieves a 17.0% CAGR through fiscal 2031, supported by durable NAND equipment demand following its recent sequential doubling and successful monetization of advanced systems shipments. Operating margins sustain peak levels near 37% while final-year free cash flow margins expand to 30.2%. Even under this best-case operational progression, the target price of $219.22 sits 14.6% below the prevailing market price of $256.80.

Valuation framework

A live discount rate, not a static hurdle

Our valuation framework relies on an asset-sensitive 10.54% weighted average cost of capital, designed to reflect the fundamental risks governing semiconductor capital equipment suppliers. The discount rate is constructed using an equity beta of 1.50, capturing the amplified cyclical volatility inherent in high-beta manufacturing tools relative to broader equity indices. With 1.26 billion diluted shares outstanding, the enterprise value must be discounted against cash flow streams that fluctuate alongside global chipmakers' capital expenditure programs. The 10.54% hurdle appropriately discounts the cyclicality of systems shipments, which scaled rapidly from $3.36B in the second quarter to $3.55B in the first quarter, $3.73B in the third quarter, and reached higher levels in the fourth quarter of fiscal 2026.

The cost of capital incorporates Lam's conservative balance sheet structure, which holds $6.39B in cash against $4.48B in total debt, yielding net cash of $1.91B. While this net cash position insulates the firm from liquidity stress, the high equity beta of 1.50 reflects investor exposure to sharp demand swings, trade policy uncertainties, and substantial customer concentration across Asia. A terminal growth rate of 3.0% in our base case reflects long-term global semiconductor consumption growth, assuming that equipment capital intensity remains broadly stable relative to global GDP over the long run. By anchoring our terminal valuation to this 3.0% rate rather than extrapolating the recent 30.0% fourth-quarter growth pace, our model guards against the cyclical exuberance that regularly characterizes equipment cycle peaks.

FCF margin normalization is the engine

Free cash flow margin trajectory serves as the primary operational variable separating our three forecast scenarios. In fiscal 2025, Lam demonstrated superior unit economics by converting $18.4B of revenue into $5.41B of free cash flow, registering a 29.4% FCF margin. This performance was underpinned by a 48.7% gross margin and a 32.0% operating margin. As the cycle accelerated across fiscal

2026, operating profitability expanded sequentially from 34.4% in the first quarter to 33.9% in the second quarter, 35.0% in the third quarter, and peaked at 37.4% in the fourth quarter. Meanwhile, gross margins expanded toward 51.7%, marking the strongest manufacturing profitability the company has achieved in roughly two decades.

However, maintaining cash conversion at these elevated operational heights becomes increasingly challenging as working capital demands expand. In the fourth quarter of fiscal 2026, operating cash flow was $1.457B, lagging reported net income of $2.28B as days sales outstanding stretched to 72 days from 64 days. Our model explicitly accounts for working capital normalization across the forecast horizon. In our base scenario, we project target free cash flow margins to settle at 28.6% by fiscal 2031, reflecting standard equipment manufacturing capital intensity. The bull scenario permits margin expansion to 30.2%, assuming sustained pricing leverage and optimal absorption across Customer Support. In the bear scenario, free cash flow margins compress to 28.2%, reflecting competitive discounting, working capital friction, and customer mix shifts.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

> **Methodology.** Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2031**
Live WACC	**10.54% (2026-10-29)**
Terminal growth	**3.0%**
Equity beta	**1.50**
Diluted shares	**1.26 billion**

HOLD

over $172.57 blended target

Competitive moat and concentration risk

We rate the moat as Wide and we view the market structure as Oligopoly (3 names at sub-5nm) in etch/deposition. We assign a premium of +28% to sector median multiples on moat strength alone.

- process-qualification switching costs, displacing etch equipment requires re-qualifying entire manufacturing processes (CrowsEye, 2026), which is why the ~45% etch share is sticky.
- gross margin holding at 47% as of Q1 2026, in line with long-term targets (2026 coverage, Q1 2026); Q3 FY2025 (quarter ended 28 Sep 2025) revenue $5.32bn with 35.0% non-GAAP operating income (AInvest, 2025). Margins held through the cycle's up-leg while selling to every leading AI chip producer, the pick-and-shovel position, not a single-design bet.
- The weakest element is cyclicality + geopolitics, semiconductor capex growth forecast to slow to 7% in 2027 from 28% in 2026, and ~12% of 2025 revenue came from Chinese customers including SMIC, with export-control risk to up to ~9% of projected 2027 revenue per Cowen estimates cited in 2026 coverage. Overall wafer-front-end share fell from 17.1% (2017) to 9.9% (2024) (AInvest, 2025), leadership is in etch/deposition subsegments, not the whole equipment market.

On a multiple cross-check, the justified range is EV/EBITDA 18.2-20.5×; P/E 22.9-25.8×. The cross-check value is $81.98 pt ($76.94-$86.69), on a base of $3.36 median GAAP basic EPS, FY2021-FY2025. The gap verdict is COLLAPSES, not at all (below Base $153.50).

This figure uses the normalized base from the October 27 recheck, not the original boom-year base.

We have no disclosed backlog figure for this company, so backlog gives no support to the growth path here.

We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score
customer concentration	4 points
counterparty credit and funding dependence	1 points
single product, single program, or single platform dependency	4 points
single supplier, single fab, or single geography exposure	8 points
platform, channel, or distribution dependency	0 points
customer insourcing risk	1 points
regulatory single point risk	8 points

The combined discount is 20 percent, capped at 20 percent, against an uncapped total of 26 percent. Shown side by side with the moat premium or discount, the net stance is +8 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. Not at all

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Business & segment drivers

Revenue prospects anchor on Systems Shipments and Customer Support Business Group HOLD

Lam Research's commercial momentum is generated by two foundational reporting categories comprising semiconductor manufacturing systems and the recurring Customer Support Business Group. Systems revenue captures the shipment of advanced etch and deposition tools required to manufacture leading-edge logic, DRAM, and NAND memory architectures. In the first quarter of fiscal 2026, systems revenue generated $3.55B out of $5.32B total revenue, subsequently delivering $3.36B in the second quarter and $3.73B in the third quarter. The systems segment reached a peak in the fourth quarter, supported by a sequential doubling of NAND equipment revenue that powered total quarterly revenue to a record $6.72B. The primary operational catalyst supporting near-term systems activity is management's September-quarter revenue guidance of $8.1B, which exceeded consensus expectations by roughly $1B and coincided with an increase in the calendar 2026 wafer fab equipment forecast to the low $150B range from $140B.

The secondary revenue engine is the Customer Support Business Group, which operates on a high-margin razor-and-blade model. This group monetizes Lam's expanding installed base by supplying specialized consumable parts, equipment upgrades, remanufacturing services, and maintenance agreements. In the first quarter of fiscal 2026, customer support revenue reached $1.78B, representing one-third of overall corporate revenue. While customer support volume typically exhibits slower sequential growth than new systems during cyclical upswings, it delivers exceptional margin resilience when fab utilization rates remain elevated. Because mature tools remain operational for decades, this installed base provides baseline operational cash flow that partially insulates corporate profitability from the volatility of greenfield fab investment cycles.

Regional revenue distribution across recent quarters illustrates substantial geographic concentration across Asian manufacturing hubs. In the fourth quarter of fiscal 2026, customer accounts in China accounted for 26% of total revenue, having previously represented 34% of revenue in the third quarter and 35% in the second quarter. Furthermore, shipments to Taiwan, China, and Korea collectively represent the substantial majority of Lam's consolidated revenue. This geographic reality exposes the systems business to regional investment cycles and shifting geopolitical export frameworks. While the recent sequential inflection in NAND revenue demonstrates the enterprise's ability to capture cyclical surges, sustained regional concentration maintains structural risk across both operating segments.

What to monitor

- **Customer working capital conversion and collection cycles** will require continuous tracking after days sales outstanding rose to 72 days in the fourth quarter from 64 days in the third quarter, causing fourth-quarter operating cash flow of $1.457B to trail net income of $2.28B.
- **Regional mix across China, Taiwan, and Korea** demands close evaluation because China accounted for 26% of revenue in the fourth quarter, 34% in the third quarter, and 35% in the second quarter, while the three Asian territories collectively generate the vast majority of equipment revenue.
- **Execution against the September guidance envelope** remains pivotal following management's projection of $8.1B in revenue plus or minus $400M, which established an extraordinary hurdle sitting roughly $1B above consensus expectations.
- **Memory equipment spending sustainability** requires verification after NAND revenue doubled sequentially in the fourth quarter, signaling potential cyclical peaking across memory manufacturing lines.

+23.7%	48.7%	32.0%	29.4%	$1.91B	54.3%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET CASH	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$18.4B
Gross Profit	$8.98B
EBIT	$5.90B
Net Income	$5.36B
EBITDA	$6.52B
Free Cash Flow	$5.41B
Diluted EPS	$4.15
ROE	54.3%

Risk & moat matrix

The bear case

SHARE EROSION

Competitors in deposition and etch could capture market share during transition points between memory nodes. Any volume losses across leading-edge fabrication would compress systems revenue

M&A DIGESTION

Pursuing large-scale strategic integrations or expanding facility infrastructure could introduce execution friction and inflate operating expenses. Such capital misallocations would dilute return on equity from its current 54.3% benchmark.

REGULATORY AND PRICING SCRUTINY

Heightened trade controls could restrict tool shipments to China, which represented 26% to 35% of recent quarterly revenue. Stricter regional licensing would immediately impair systems shipments and lower overall corporate gross margins.

TECHNOLOGY DISRUPTION

Unanticipated architectural inflections in 3D device fabrication could render existing etch and deposition chamber designs less critical. A technological substitution event would severely impair tool replacement demand and Customer Support revenue streams.

REINVESTMENT TREADMILL

Maintaining leadership in atomic-scale manufacturing requires massive, continuous capital expenditures and research outlays. If capital productivity slows, free cash flow conversion would fall short of the 28.6% target margin modeled in our base case.

WACC AND DURATION SENSITIVITY

Given the model's equity beta of 1.50 and discount rate of 10.54%, any macro-driven increase in risk premiums would severely compress Lam's terminal enterprise value. High-beta capital equipment equities experience violent valuation

below the baseline 13.5% CAGR assumption.

drawdowns during interest rate repricing cycles.

The strengths

OLIGOPOLY POSITION

Lam operates as an entrenched leader in specialized etch and deposition platforms, securing high commercial barriers to entry. This duopoly positioning enabled non-GAAP gross margin to reach roughly 52% in the fourth quarter of fiscal 2026, marking two-decade highs.

FCF COMPOUNDING

The enterprise generated $5.41B in free cash flow during fiscal 2025, supported by exceptional asset efficiency and a 29.4% FCF margin. High cash generation supports ongoing technological reinvestment without requiring external debt financing.

GEOGRAPHIC DURABILITY

Deep customer relationships with leading chip fabricators across Taiwan, Korea, and China ensure continuous tool placement in high-volume fabs. These entrenched operational footprints guarantee consistent demand for parts and services across multi-year cycles.

PIPELINE OPTIONALITY

The Customer Support Business Group provides a dependable razor-and-blade revenue stream that generated $1.78B in the first quarter of fiscal 2026 alone. This recurring services business dampens cyclical volatility and provides stable, high-margin cash flows through industry downturns.

The bottom line on risk and reward

Lam Research Corp represents one of the premier industrial franchises in the global technology ecosystem, commanding indispensable technical moats across semiconductor etch and deposition equipment. The operational delivery demonstrated across fiscal 2026 was stellar, culminating in record fourth-quarter revenue of $6.72B, non-GAAP EPS of $1.82 beating estimates by 8.3%, and operating margin reaching 37.4%. Furthermore, management's bold September-quarter revenue guide of $8.1B, exceeding consensus by approximately $1B, alongside a raised calendar 2026 wafer fab equipment industry outlook in the low $150B range, underscores the sheer strength of the current cyclical wave. The sequential doubling of NAND equipment revenue further illustrates the powerful leverage inherent in Lam's product architecture.

Nonetheless, institutional equity analysis requires separating operating excellence from equity valuation. At the reference spot price of $256.80, Lam trades at 61.9x fiscal 2025 diluted EPS, 17.6x revenue, and 49.4x EV to EBITDA. These multiples sit near cyclical extremes, pricing in perpetual growth and zero margin for operational friction. Latent vulnerabilities are already

visible, including fourth-quarter operating cash flow of $1.457B trailing net income of $2.28B, days sales outstanding rising to 72 days, and ongoing revenue concentration across China and broader Asian fabrication hubs. Once current wafer fab equipment spending crests, mean reversion in operating profitability and valuation multiples will impose severe valuation headwinds.

Our quantitative DCF framework makes the asymmetry explicit. Weighting our scenarios at 25% bear, 50% base, and 25% bull produces a blended price target of $172.57, which compares to our base case of $171.51 and bear case of $128.06. Even our highly optimistic bull case yields a fair value of $219.22, remaining well below current trading levels. With the blended target implying -32.8% upside, the risk-reward profile is distinctly skewed to the downside. We advise institutional investors to avoid initiating new capital commitments at current prices and maintain a rating of Hold, Valuation Concerns.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

Franchise deep dive

Etch and Deposition Systems: High-Aspect-Ratio Architecture Leadership

Lam Research's core franchise is built around advanced semiconductor etch and deposition equipment, which together represent the foundational systems segment. Modern semiconductor scaling depends heavily on vertical 3D integration, where circuit density is expanded by stacking memory and logic layers rather than shrinking horizontal dimensions alone. This manufacturing transition has transformed etch and deposition from standard process steps into the primary physical bottleneck governing semiconductor fabrication. Lam's proprietary tool chambers utilize advanced plasma physics and precise chemistry to carve deep, microscopic holes and trenches through hundreds of vertical layer pairs without deviating from perpendicular trajectories.

The systems portfolio addresses both dielectric and conductor etch, alongside specialized chemical and physical vapor deposition. These systems are sold directly to the world's leading chip manufacturers to equip cleanroom facilities. The financial power of this franchise was fully exhibited throughout fiscal 2026. Systems revenue opened the fiscal year at $3.55B in the first quarter, generated $3.36B in the second quarter, and climbed to $3.73B in the third quarter. The momentum culminated in the fourth quarter, where a sequential doubling of NAND equipment shipments powered consolidated corporate revenue to an all-time record of $6.72B. The systems segment serves as the direct monetization engine for broader semiconductor capital spending, expanding operating income to $2.51B at a 37.4% margin in the fourth quarter.

Complementing new systems installations is the Customer Support Business Group, which creates a highly lucrative razor-and-blade model around the installed equipment base. Once an etch or deposition tool is integrated into a fabrication cleanroom, it requires continuous

consumable chamber parts, ongoing precision servicing, and periodic chamber upgrades to maintain competitive wafer yields. In the first quarter of fiscal 2026, the Customer Support Business Group generated $1.78B in revenue. Although customer support expands at a more moderate pace than systems during cyclical inflections, it provides an invaluable operational stabilizer when fab investment pauses, ensuring that the company maintains continuous free cash flow generation across all stages of the equipment cycle.

The manufacturing execution demonstrated across fiscal 2026 pushed non-GAAP gross margin to 51.7% in the fourth quarter, approaching 52% and representing the highest level achieved by the company in roughly twenty years. This margin performance validates Lam's immense pricing power and operational efficiency. However, the systems franchise remains fundamentally cyclical and geographically exposed. Shipments are heavily concentrated across Taiwan, Korea, and China, with China representing 26% of fourth-quarter revenue, 34% of third-quarter revenue, and 35% of second-quarter revenue. While technological leadership remains unchallenged, prospective investors must recognize that the systems business operates at the peak of an unprecedented investment wave.

What the recent record shows

- Record fourth-quarter fiscal 2026 revenue of $6.72B reflected 30.0% year-over-year and 15.1% sequential growth, powered by a sequential doubling of NAND equipment revenue.
- September-quarter guidance reset expectations with a revenue midpoint of $8.1B, exceeding market consensus by approximately $1B alongside a raised calendar 2026 wafer fab equipment outlook in the low $150B range.
- Non-GAAP gross margin reached 51.7% in the fourth quarter, approaching 52% to establish a multi-decade profitability record while operating margin expanded to 37.4%.
- Working capital friction emerged in the fourth quarter as days sales outstanding expanded to 72 days from 64 days, causing operating cash flow of $1.457B to lag net income of $2.28B.

> **Our read:** Lam Research has executed flawlessly across fiscal 2026, solidifying its oligopoly leadership across semiconductor etch and deposition equipment. However, with the stock trading at $256.80 and carrying an EV to EBITDA multiple of 49.4x against fiscal 2025 performance, current market pricing reflects unrealistic cyclical permanence. We see significant multiple compression ahead and reaffirm our Hold, Valuation Concerns rating and $172.57 blended target, representing -32.8% upside.